

Dixstone Rigs Peer Benchmarking Review



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— PRESENTED BY

Sigma Energy team.

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- Projects, Maintenance, Assets, Supply Chain & Audits
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- 15 years in the rigs business
- Supply Chain, Logistics, Inventory Management
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— AGENDA

What we'll cover today.

- 1** Approach
How we benchmarked
- 2** Phase 1 · Internal Diagnostics
What we saw — and what the numbers say
- 3** Phase 2 · External Benchmarking
How Dixstone compares
- 4** Phase 3 · Recommendations
What we'd do

— THE APPROACH

We started from the rigs — 6 steps from on-site findings to recommendations.

01 · SITE VISITS 3 rigs & 3 central warehouses	02 · DATA COLLECTION From SAP, drilling team & HQ
03 · MEASURE Score Dixstone across functions	04 · BENCHMARK Vs. peers
05 · VALIDATE With the Dixstone team	06 · RECOMMEND Reduce cost & improve efficiency

— PHASE 1 OF 3

Internal Diagnostics

— PHASE 1 · 1.1

Rig-Site Findings

— ON-SITE SURVEYS · 3 RIGS + 3 CENTRAL WAREHOUSES · ROOT-CAUSE DIAGNOSTIC

Rig-site findings are foundational to issues facing the business.

1

SUPPLY CHAIN

Significant Inventory and Rig Warehouse Management Issues

- Overflowing warehouses

- Several rig warehouses poorly managed

- Lack of processes and discipline

- Complete MR to PO process not in SAP

FIELD PHOTOS →

2

EQUIPMENT

Inconsistent Preventive Maintenance (PM)

- Many PM tasks overdue & fluctuating quality

- PM tracking scattered between SAP / MM10 / Excel

- Incomplete asset registers

- Several major equipment Cat IV overdue

FIELD PHOTOS →

3

PEOPLE & PROCESS

Lack of processes and training

- No well-defined supply chain and material management processes

- Personnel lack training on company processes and systems

- Key areas such as Inventory, Warehouse & Asset Management lack focus

FIELD PHOTOS →

4

DATA CAPTURE AT THE RIG LEVEL

Inconsistent system use and poor data quality

- Rig personnel not consistently using systems to execute transactions

- Transactions not recorded in time — incomplete data in ERP and PM systems

- Limits the ability to make data-driven decisions

— PHASE 1 · 1.2

Desktop Review Findings

— DATA FOUNDATION · CHALLENGES ENCOUNTERED DURING DIAGNOSTICS

Data inconsistent, incomplete & scattered — limited visibility for data-driven decisions.

01 · SCATTERED SYSTEMS

Multiple disconnected platforms.

02 · 2 SAP ENVIRONMENTS

Historical data across 2 SAP environments.

03 · INCOMPLETE EXTRACTS

SAP extracts missing critical fields.

04 · POOR MOVEMENT HISTORY

Poor movement history.

05 · NO DATA VISUALIZATION

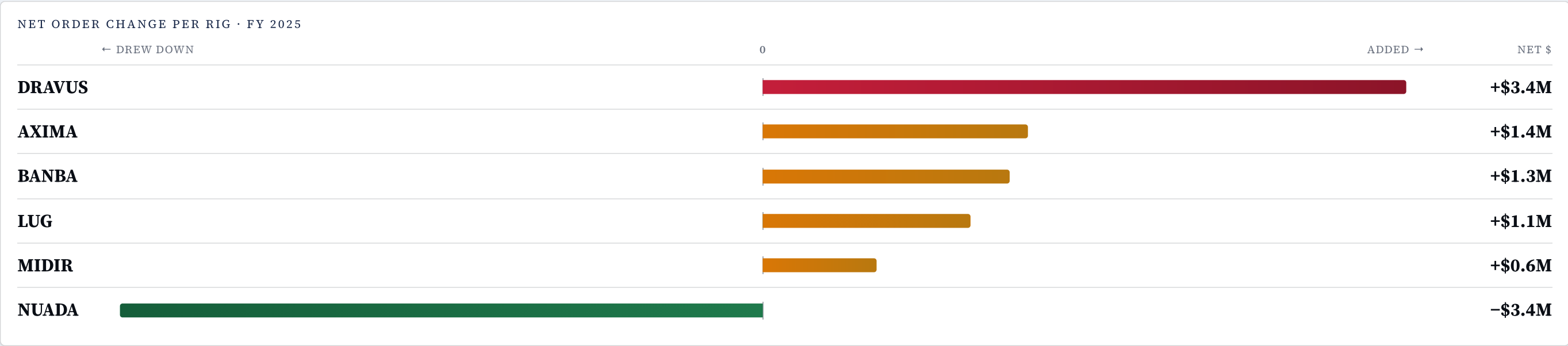
No dashboards (rig manager, supply chain...).

06 · MANUAL PO TRACKING

Rig managers track POs manually.

— PROCUREMENT COMMITMENTS VS ACTUAL CONSUMPTION · FY 2025

5 of 6 rigs ordered more than they consumed — [over-ordering](#) = growing inventory.



Disclaimer • Values based on partial mapping of unit prices from PO history, as complete data was not available. Stated numbers are therefore directional.

— INVENTORY · LEVELS VS BRACKETS & DEAD STOCK · END-2025

The fleet carries ~4× recommended inventory — 56% of it dead stock.

\$45.2M

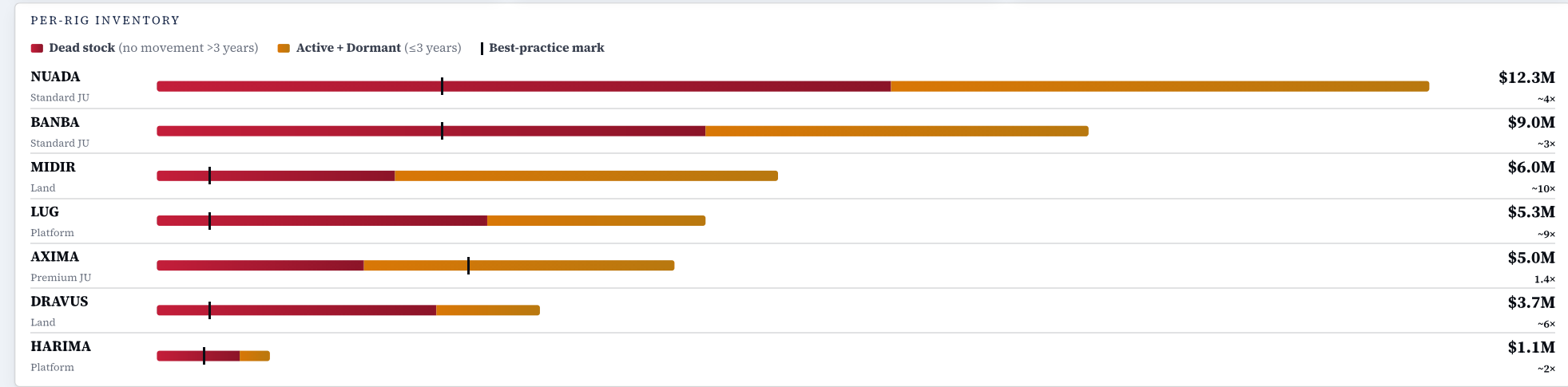
FLEET INVENTORY VS ~\$12M BEST-PRACTICE LEVELS

\$25.2M

DEAD STOCK

CAVEAT

- Inventory value only partially valorised
- Some rigs came with legacy purchased inventory



Inventory aging · **Active** (<12 mo) · **Dormant** (12–36 mo) · **Dead** (>3 yrs) · **Obsolete** (superseded / end-of-life).

Disclaimer • Partial unit-price mapping of PO history (MB52 via ME2N) — read as **directional magnitude**, not an audited valuation.

— CAUSAL CHAIN · CERT → NPT → OPEX · FY 2025

Out-of-cert equipment contributes to [elevated NPT](#) — and inflates the spend.

01 · EQT CERTIFICATION

No standard EQT-certification tracker; EQT out of certification.

02 · PREVENTIVE MAINTENANCE

PMs not per OEM, fluctuating quality, and not accurately recorded in the data.

03 · NPT + OPEX INFLATION

Failures shift onto NPT and spare-parts.

5.8–8.7%

NPT · 4 OF 6 RIGS

BANBA, NUADA, LUG, MIDIR, DRAVUS · vs peer median 3.0%, ADES best 1.5%

14.5%

SPARE PARTS · % OF REVENUE · FY 2025

\$22.9M fleet on \$158.5M theoretical revenue

Manning — [jackups near peer, land rigs well above.](#)

JACKUPS

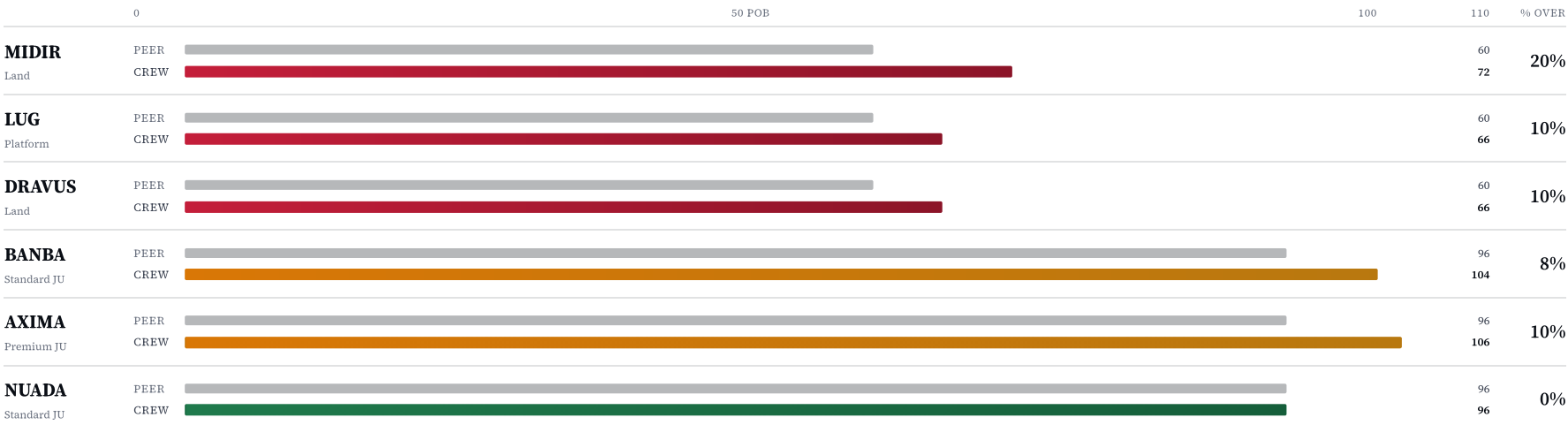
Slightly — chargeback personnel to Perenco.

LAND RIGS

Clearly overmanned.

CREW VS PEER BENCHMARK · PER RIG · FY 2025

2 bars per rig: **peer benchmark** (lighter) and **actual crew** (longer). Same POB scale across all rigs; the visible gap between the two bars is the overmanning.



HQ & country support is ~14% below peers.

~72

DIXSTONE TODAY

~12 below peer-matched scope

84

PEERS TODAY · HQ & COUNTRY SUPPORT

14 per rig × 6 active rigs

>14%

GAP VS PEER BENCHMARK

Likely understates the shortfall at smaller fleet scale

Observation

Gap concentrated in HQ — Supply Chain, Assets & Maintenance.

Implication

Lack of focus negatively impacting these functions — Supply Chain, Assets & Maintenance.

Path forward

Bring in expertise to support these functions (hiring and/or external).

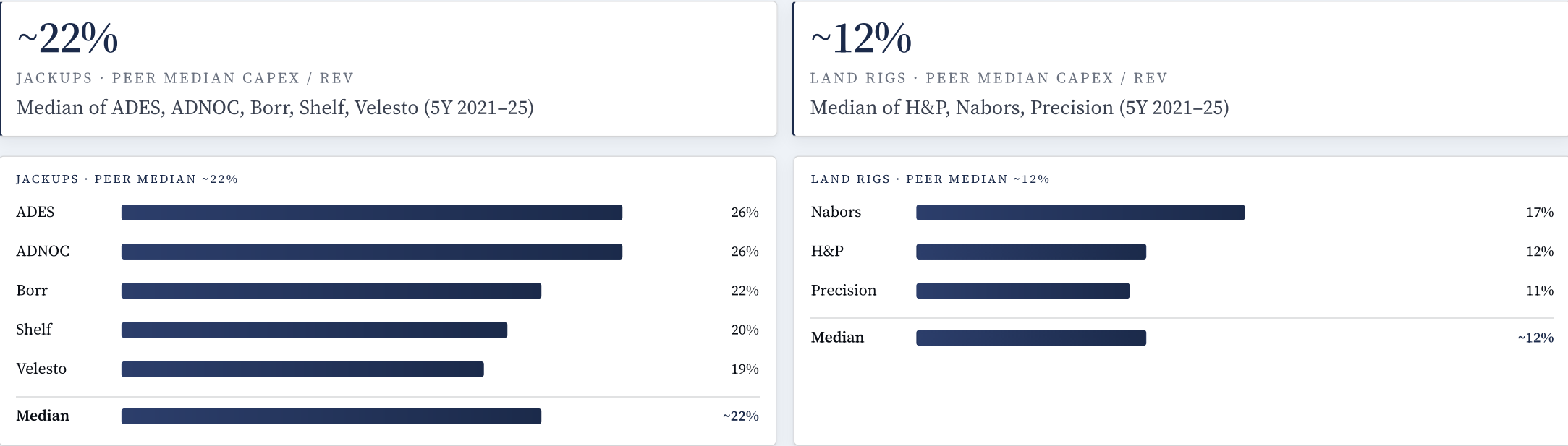
How the ~14 support / rig benchmark is derived: Shelf Drilling 13.9 (500 support / 36 rigs · FY24) · Borr Drilling 13.8 (332 / 24 · FY25) → 14 × 6 rigs = 84 target; Dixstone today ~72.

PEER BENCHMARK	RIGS	TOTAL SUPPORT (SHORE + HQ)	SUPPORT / RIG
Shelf Drilling FY24	36	500	13.9
Borr Drilling FY25	24	332	13.8

Source: peer annual reports / SEC filings (FY24–FY25) · support headcount ÷ rig count → ~14 / rig.

— CAPEX · % OF REVENUE · 5-YEAR 2021–2025

Peer CAPEX as % of revenue — [jackups vs land rigs](#).



CAPEX (drilling contractor) = rig equipment & Cat IV recertification — e.g. top drive, BOP, major equipment repairs. **Note:** Dixstone CAPEX data was not provided — peer CAPEX as % of revenue shown for reference.

— PHASE 1 · HOW WE MEASURE EACH RIG

Rig Direct Margin (RDM) — [the rig-level profitability lens](#).

A like-for-like measure of each rig's margin from its own operations, before group-level items.

RIG DIRECT MARGIN (RDM)

Theoretical revenue – direct rig operating costs.

Direct costs = workforce, spare parts & services (excluding D&A, G&A & corporate).

ADJUSTED RDM

RDM + OPEX reclassified from CAPEX.

Adds back operating spend booked as CAPEX.

THE TOP LINE OF THE EXERCISE · THEORETICAL REVENUE PER RIG · FY 2025							
P&L LINE	AXIMA	BANBA	NUADA	LUG	MIDIR	DRAVUS	FLEET
Theoretical Day Rate	\$130K	\$100K	\$100K	\$70K	\$40K	\$40K	—
Billable Operating Days	301.6	333.2	343.7	340.5	339.8	353.1	2,012
Theoretical Revenue	\$39.2M	\$33.3M	\$34.4M	\$23.8M	\$13.6M	\$14.1M	\$158.5M

Billable Operating Days = Operating Days – NPT Days.

— PER-RIG SPEND MIX · % OF THEORETICAL REVENUE · FY 2025

AXIMA, MIDIR and DRAVUS run high on spare parts — [land rigs](#) high on manning.

RIG	SPARE PARTS · % OF REVENUE			WORKFORCE · % OF REVENUE		
	2025	2024	Δ PP	2025	2024	Δ PP
AXIMA PREMIUM JU	15.1%	9.1%	+6.0	31.7%	30.1%	+1.6
BANBA STANDARD JU	11.2%	21.7%	−10.5	33.7%	37.7%	−4.0
NUADA STANDARD JU	10.0%	17.0%	−7.0	30.0%	33.5%	−3.5
LUG PLATFORM	12.9%	11.7%	+1.2	32.0%	47.9%	−15.9
MIDIR LAND	25.5%	13.8%	+11.7	51.9%	68.5%	−16.6
DRAVUS LAND	23.1%	19.8%	+3.3	40.9%	45.4%	−4.5
Fleet	14.5%	14.7%	−0.2	34.3%	38.6%	−4.3

← BACK TO RDM EVOLUTION

— PER-RIG PROFIT & LOSS · FY 2025 · USD '000S

\$53.5M Adjusted Rig Direct Margin — [below the 44.8% peer median](#).

33.7%

ADJUSTED RDM
FLEET · FY 2025

34.3%

WORKFORCE
% OF REVENUE

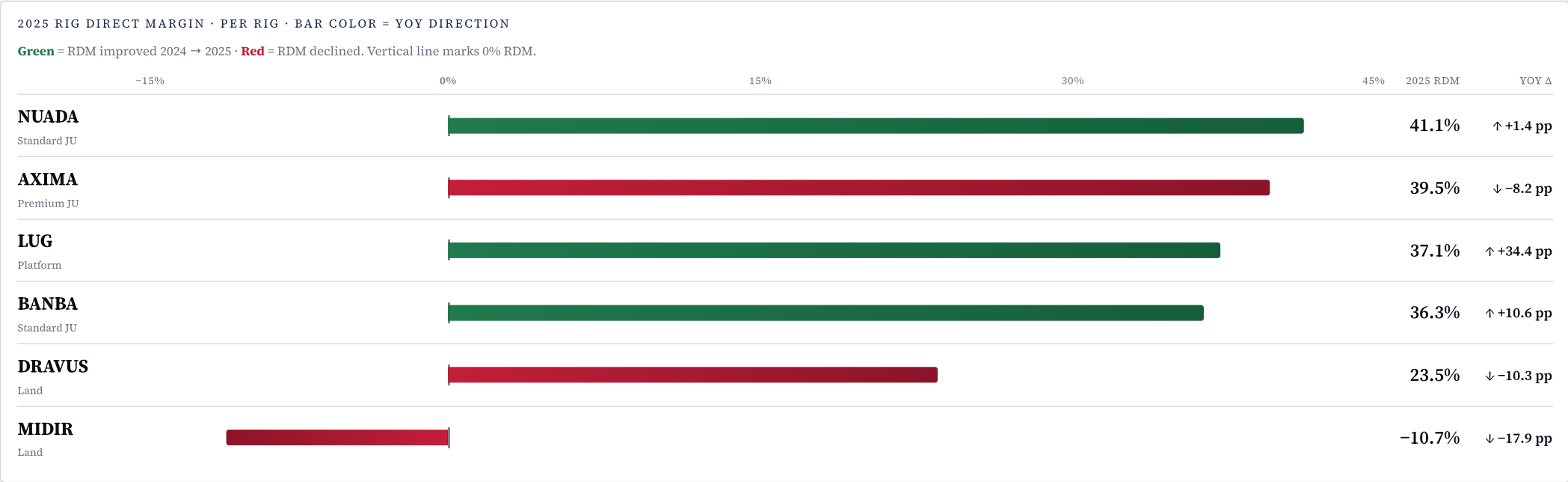
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SPARE PARTS
% OF REVENUE

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Theoretical Revenue	\$39.2M	\$33.3M	\$34.4M	\$23.8M	\$13.6M	\$14.1M	\$158.5M
Workforce & Labor	31.7% · (\$12.4M)	33.7% · (\$11.2M)	30.0% · (\$10.3M)	32.0% · (\$7.6M)	51.9% · (\$7.1M)	40.9% · (\$5.8M)	34.3% · (\$54.4M)
Spare Parts	15.1% · (\$5.9M)	11.2% · (\$3.7M)	10.0% · (\$3.4M)	12.9% · (\$3.1M)	25.5% · (\$3.5M)	23.1% · (\$3.3M)	14.5% · (\$22.9M)
+ OPEX→CAPEX reclass	6.1% · \$2.4M	3.6% · \$1.2M	2.6% · \$0.9M	1.7% · \$0.4M	11.0% · \$1.5M	22.3% · \$3.1M	6.6% · \$10.5M
Adjusted RDM	39.5% · \$15.5M	36.3% · \$12.1M	41.1% · \$14.1M	37.1% · \$8.8M	−10.7% · (\$1.4M)	23.5% · \$3.3M	33.7% · \$53.5M

— RIG DIRECT MARGIN EVOLUTION · 2024 → 2025 · PER RIG

Fleet RDM at 33.7% — but rigs range from +41% to -11% — a 52pp gap.



Fleet: 33.2% → 33.7% (+0.5 pp) — headline flat YoY masks the wide rig-level divergence above.

→ PER-RIG SPEND MIX

— MAJOR FINDINGS · PHASE 1 — INTERNAL DIAGNOSTICS

Strong pickup, weak land rig performance — [over-ordering](#) & [excess inventory](#) fleet-wide.

01 · JACKUP MARGIN Jackups ~39% RDM — close to peers. ~6 pp below the ~45% pickup peer median.	02 · LAND RIG MARGIN Land rigs ~6% RDM — far below peers. ~26 pp below the ~33% land peer median.
03 · INVENTORY \$45.2M held — ~4× peer median.	04 · OVER-ORDERING 5 rigs ordered more than consumed.
05 · LAND RIG OVERMANNING All land rigs overmanned vs peers.	06 · ROOT CAUSE Data, systems and dashboards missing.

— PHASE 2 OF 3

External Peer Benchmarking

The peer set — 9 listed contractors, ~1,200 rigs.

Benchmarked across the full drilling spectrum — global land-rig majors, MENA-anchored blended fleets, and pure jackup contractors.

LAND & MIXED PEERS · 5 CONTRACTORS · ~1,083 RIGS		
Helmerich & Payne	Land + platform · US + Intl	367
Nabors Industries	Land + platform · Global	269
Precision Drilling	Land · Canada + US + Intl	184
ADNOC Drilling	Mixed · UAE	140
ADES Holding	JU + onshore · MENA + Intl	123

JACKUP-PURE PEERS · 4 CONTRACTORS · 96 RIGS		
Valaris	JU + ARO · Global	33
Shelf Drilling	Standard JU · MENA + SE Asia	33
Borr Drilling	Premium JU · Global	24
Velesto Energy	Standard JU · SE Asia	6

Subject: Dixstone · 7 rigs (3 jackups, 2 platform, 2 land) · West Africa.

OPEN THE LIVE BENCHMARKING

DrillSight peer benchmarking →

— PREMIUM JACKUP · AXIMA VS PEERS · FY 2025

AXIMA — RDM 7.2pp below peer median, bridgeable via spares + cert/PM.

Premium Jackup peer set: **Borr** · **ADNOC** · **ADES** · **Valaris-JU** · **Velesto**.

\$130K DAYRATE Peer median \$130K · Borr top \$150K	2.7% NPT Peer median 3.0% · ADES best 1.5%	39.5% RIG DIRECT MARGIN Peer median 46.7% · gap −7.2 pp	106 POB / RIG Premium peer 96 · +10 over (mostly back-charged)	\$5.0M INVENTORY (APPROX.) Best-practice mark \$2.5–3.5M · ~1.4× over
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— STANDARD JACKUP · BANBA & NUADA VS PEERS · FY 2025

BANBA & NUADA — NPT bridges the RDM gap; 3–4× excess inventory.

Standard Jackup peer set: **Shelf** · **Valaris** · **ADES**.

BANBA · STANDARD JU				
\$100K DAYRATE Shelf \$83K · Valaris JU \$138K	8.7% NPT Peer median 3.0% · Shelf best 0.6%	36.3% RIG DIRECT MARGIN Peer median 42.9% · gap −6.6 pp	104 POB / RIG Standard peer 96 · +8 over (mostly back-charged)	\$9.0M INVENTORY (APPROX.) Best-practice mark \$2.5–3.0M · ~3× over
NUADA · STANDARD JU				
\$100K DAYRATE Shelf \$83K · Valaris JU \$138K	5.8% NPT Peer median 3.0% · Shelf best 0.6%	41.1% RIG DIRECT MARGIN Peer median 42.9% · gap −1.8 pp	96 POB / RIG Standard peer 96 · at peer	\$12.3M INVENTORY (APPROX.) Best-practice mark \$2.5–3.0M · ~4× over

— LAND RIGS · MIDIR & DRAVUS VS PEERS · FY 2025

MIDIR & DRAVUS — payroll, expat cost and 6–10× excess inventory drive the gap.

Land peer set: **Helmerich & Payne · Nabors · Precision.**

MIDIR · LAND				
\$40K DAYRATE HP / Nabors \$25–35K · MENA premium	6.9% NPT Peer median ~3.5% · HP best ~2.0%	–10.7% RIG DIRECT MARGIN Peer median 32.8% · Nabors top 39.9%	72 POB / RIG Land peer norm ~60 · +12 over	\$6.0M INVENTORY (APPROX.) Best-practice mark \$0.4–0.6M · ~10× over
DRAVUS · LAND				
\$40K DAYRATE HP / Nabors \$25–35K · MENA premium	3.3% NPT Peer median ~3.5% · HP best ~2.0%	23.5% RIG DIRECT MARGIN Peer median 32.8% · Nabors top 39.9%	66 POB / RIG Land peer norm ~60 · +6 over	\$3.7M INVENTORY (APPROX.) Best-practice mark \$0.4–0.6M · ~6× over

— PLATFORM RIG · LUG VS PEERS · FY 2025

LUG — NPT high vs peers and ~9× excess inventory.

Platform peer set: **Helmerich & Payne · Nabors · Precision.**

\$70K DAYRATE HP / Nabors \$25–35K · platform premium applies	6.7% NPT HP best ~2.0% · Nabors ~3.0%	37.1% RIG DIRECT MARGIN Peer median 32.8% · Nabors top 39.9%	~55 POB / RIG Land peer norm ~60 at peer	\$5.3M INVENTORY (APPROX.) Best-practice mark \$0.4–0.6M · ~9× over
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— PHASE 3 OF 3

Recommendations & Roadmap

— TARGET STATE · OUR GOAL · RDM · NPT · PO/GR

The Goal — operational & cost efficiency: 44.8% RDM at 2–4% NPT & disciplined daily PO/GR.

44.8%

TARGET RIG DIRECT MARGIN

2–4%

TARGET NPT

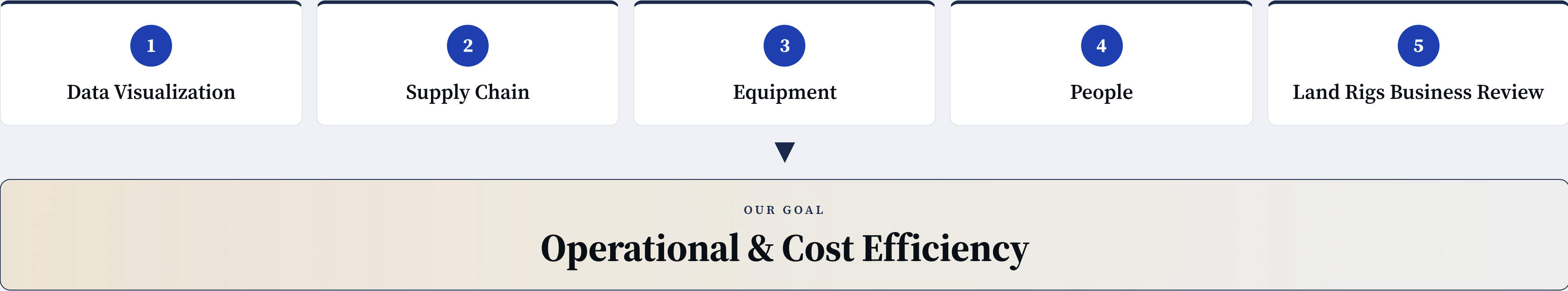
PO/GR

DAILY CEILING PER RIG

RIG	2025 ACTUAL			TARGET		
	NPT	RDM	DAILY PO	NPT	RDM	DAILY PO
AXIMA PREMIUM JU	2.7%	39.5%	\$32.6K	2.0%	44.8%	\$26.4K
BANBA STANDARD JU	8.7%	36.3%	\$24.1K	4.0%	44.8%	\$20.0K
NUADA STANDARD JU	5.8%	41.1%	\$21.3K	4.0%	44.8%	\$19.9K
LUG PLATFORM	6.7%	37.1%	\$17.9K	4.0%	44.8%	\$14.7K
MIDIR LAND	6.9%	–10.7%	\$19.4K	4.0%	44.8%*	\$8K
DRAVUS LAND	3.3%	23.5%	\$11.5K	4.0%	44.8%	\$8K
Fleet	5.7%	33.1%	—	2–4%	44.8%	—

— RECOMMENDATIONS · STRATEGIC DIRECTION

5 strategic areas, run concurrently — toward one outcome.



— STRATEGIC AREA 01 · DATA VISUALIZATION

You can't improve what you don't measure well — [fleet-wide dashboards](#).

Track key metrics across operations, supply chain, equipment, people, HSE and finance — and benchmark continuously against peers and targets.

01 · OPERATIONS

NPT, uptime, utilization, rig move.

02 · SUPPLY CHAIN

PO, PO/GR, issue-out, inventory.

03 · EQUIPMENT (ASSETS & PM)

PM overdue, Cat IV overdue.

04 · PEOPLE

Manning, competency, training.

05 · HSE

LTIR, LTI, near misses, MTC...

06 · FINANCE

Direct P&L, vs last year, vs targets.

Set the targets — then review them weekly.

SET THE TARGETS

- NPT
- Overdue PM
- Overdue Cat IV
- Daily average spending limit
- Inventory on rig
- Min/max compliance
- Competency & training

WEEKLY OPERATIONS CALL

- Rig dashboard
- Compare to target
- Compare rig to rig
- Discuss deviations & remedial actions

— STRATEGIC AREA 01 · DATA VISUALIZATION · SAMPLE DASHBOARD

A working sample — [see the dashboards in action.](#)

A live, interactive sample of the fleet dashboards, built on Dixstone data — operations, supply chain, equipment, people, HSE and finance in one view.

OPEN THE LIVE DASHBOARD

dixstone-dashboards.sigma-energy.com →

— STRATEGIC AREA 02 · SUPPLY CHAIN

Standardize supply-chain operating model — streamlined processes, clean inventory, disciplined ordering.

SUPPLY CHAIN PROCESSES

Define and streamline the processes.

- Develop SC processes & procedures
- Standardize MR, PO, GR, issue-out, transfers & master-data
- Classify inventory vs non-inventory / capital items

INVENTORY

Reset every warehouse, end to end.

- Wall-to-wall physical count
- Move dead stock to CWHs
- Re-label & SAP-ID tag every part

MATERIAL MANAGEMENT

Issue-out discipline and min/max control.

- Log every issue-out in SAP
- Establish history-based min/max
- Consumption check before every PO
- Cross-rig pooling before new orders

SAP (ERP) PROCURE-TO-PAY & RECORDS

Run the full cycle in SAP — with values.

- MR-to-PO in SAP
- Record every inventory movement
- Capture inventory value
- Country-level material creation
- Single source of truth

SUPPORT

Bring in supply-chain management support.

- Supply chain specialists
- Cover the HQ gap (drilling supply chain manager)

TRAINING

Train the supply-chain team.

- Rig material men
- Country buyers
- Country material men

— STRATEGIC AREA 03 · EQUIPMENT

Preventive maintenance & certification — [reduce NPT](#), [keep equipment in cycle](#).

PM · ONE SYSTEM WITH HISTORY

All rigs on the same CMMS.

One preventive-maintenance system across the fleet, holding the **complete equipment & PM history**.

PM · OEM TASKS & RECORDS

OEM-based tasks with recordables & measurables.

Replace free-text fields with **structured recordables & measurables per OEM instructions**; link every PM to its correct asset.

PM · OVERSIGHT

Shift from fire-fighting to managed PM.

Oversee **overdue PM tasks**; weekly review cadence; PM-compliance KPIs in the dashboard.

ASSETS & CERTIFICATION

Updated register & Cat III/IV tracker.

Keep the **asset register & transfers updated** and a **Cat III/IV certification tracker**; introduce a dedicated **Asset Manager position**.

— STRATEGIC AREA 04 · PEOPLE

Right competencies, right manning — [at rigs and HQ](#).

COMPETENCY & TRAINING

Strengthen competency & training matrices (equipment, supply chain).

HQ RESOURCING

Strengthen HQ competencies & headcount.

Recommended minimum:

- Drilling supply chain manager
- Drilling asset manager

RIG MANNING

Right-size land-rig crews to peer norms.

— STRATEGIC AREA 05 · LAND RIGS BUSINESS REVIEW

MIDIR & DRAVUS need a [complete business-model review](#).

MIDIR is loss-making and DRAVUS sub-par despite peer-level CAPEX — the gap merits a full business-model review, not line-by-line trims.

SCOPE OF REVIEW

- Review manning & POB vs land-rig norms
- Review workforce cost structure — exceeding 50% of theoretical revenue
- Review rig spec, sizing & capabilities
- Review CAPEX strategy

OPTIONS TO EVALUATE

- Upgrade to a more competitive spec
- Re-deploy to better-fit work
- Restructure crew model — expat ratio & rotation
- Re-base the cost structure to land-rig norms

— ROADMAP · SEQUENCED ACTION PLAN

From diagnostics to delivery — capture value fast, then lock it in.

WORKSTREAM	NOW · NEXT 90 DAYS	THEN · 3-12 MONTHS
1 Performance Dashboards	Weekly rig + management dashboard live · benchmark vs peers and targets	Fleet-wide dashboards across Ops, Finance, HR, Supply Chain, Equipment & HSE
2 Reduce NPT Operations & Reliability	Mandatory PM record retention · Cat III/IV cert tracker + recert campaign	CMMS rollout with OEM-based PM tasks · reliability programme by rig
3 Tighten Ordering Supply Chain & Inventory	Wall-to-wall count · dead stock off rigs to CWHs · consumption + min/max before every PO	Complete re-labelling & SAP-ID tagging · MR-to-PO cycle in SAP · SKU scrap policy · appoint drilling supply chain manager
4 Clean Asset Register Asset & Certification	Asset-register re-baseline · tag & verify across all rigs	Updated asset & cert tracking, including asset movements · appoint drilling asset manager
5 Land Rigs Review MIDIR & DRAVUS	Frame the review · scope, terms of reference & data pack	Complete business-model review · manning, cost base, spec & commercial model
NOW · OUTCOME Discipline & visibility — inventory build-up halted, NPT trending down, register trusted.		THEN · OUTCOME Platform & structure — systems, processes and rig portfolio aligned to peer-level performance & efficiency.

Open Discussion

Questions & Next Steps

